Two factors have led to a rethinking of the doctrine. First, domestic constraints including political imperatives of bringing unemployment down and the economic constraint of the zero lower bound may lead monetary policy to be set at levels different from the unconstrained domestic optimal. Dysfunctional domestic politics could also contribute in moving monetary policy further from the unconstrained optimal. In other words, the central bank, responding to a variety of political pressures and weaknesses, may stray away from even the constrained optimal – towards third best policies rather than second best policies. Second, cross-border capital flows can lead to a more dramatic transmission of policies, driven by agency (and other) considerations that do not necessarily relate to economic conditions in the recipient countries.

One argument along these lines is that if some large country adopts unconventional and highly accommodative sub-optimal policies, other countries may follow suit to avoid exchange rate appreciation in a world with weak demand. As a result, the policy equilibrium may establish at rates that are too low compared to that warranted by the global optimal. Another argument is that when the sending country is at the zero lower bound, and the receiving country responds to capital inflows with aggressive reserve accumulation, both may be better off with more moderate policies. Indeed, it may well be that coordination may allow policy makers political room to move away from sub-optimal policies. If political paralysis and consequent fiscal tightening forces a source country to a sub-optimal reliance on monetary stimulus, policy coordination that allows for expanded demand elsewhere could allow the source country to cut back on its dependence on monetary stimulus.

DOMESTIC OPTIMAL IS CLOSE TO THE GLOBAL OPTIMAL